



Lease Agreement
Sautech PTY Ltd
28 Feb 2018

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1 PURPOSE AND OBJECTIVES

This Lease Agreement outlines the terms and conditions under which the The Lessor will lease premises on a monthly basis to the lessee. Each term explained under definitions

1.1 Parties to the agreement

This Agreement is made between **Sautech Properties – Registration number: 2006/076709/23** (hereinafter referred to as “The Lessor”) and **Sautech PTY Ltd – Registration number : 2003/006814/07** hereafter combined referred to as “the Lessee”

1.2 Commencement Date

This Rental Agreement will commence on **28 Feb 2018**

1.3 Annual anniversary

This contract anniversary is **1 March 2021**. On this date, the annual increase to the rental agreement of a pre-defined structure of 6.5% will be applicable (This percentage might be lower and on the sole discretion of the Lessor)

1.4 Duration of Lease

This Lease Agreement is on a 3 years Lease basis and is automatically renewable for a further 1 year at the end of this initial period and on each subsequent anniversary of the Commencement Date unless 30 days prior written notice is received to terminate the Agreement by either party.

2 INTERPRETATION DEFINITIONS

2.1 Definitions

Words Importing;

- Any one gender includes the other two genders
- The singular include the other two genders
- Natural persons include create entities (corporate of unincorporated) and vice versa

“The Premises” means 34 Stokroos Ave, Breaunanda, Krugerdorp, 1739

“The Lessor” means Sautech Properties CC

“The Lessee” means **Sautech PTY Ltd – Registration : 2003/006814/07**



"The Deposit" means The Deposit set out in this agreement.

"The Commencement date" means 28 Feb 2018

"The Termination date" means 1 March 2021

"The Rental" means R 44 000.00 (Fourty Four Thousand rand)

3 LEASE AGREEMENT

The Lessor hereby lets to the Lessee who hereby hires the premises.

3.1 Rental and Deposit

- It was declared by the Lessor that no deposit is required
- The rental applicable shall be subject to an escalation of 6.5% per annum after expiry of the first 12 months period calculated from commencement date
- The Rental shall be paid monthly in advance on the or before the first day of each month free of any deduction or set off into Nedbank

Account details:

Account Name: **Sautech Properties CC**

Nedbank: **Clearwater**

Account: **Cheque Account**

Branch Code: **182505**

Account number: **1825 0299 11**

- During the Period of the lease, the Lessee shall not without written consent of the Lessor remove any movable property brought into the premises by the Lessee at the commencement of or during the lease period It being understood that such movable property is to remain on the premises as security for all rent or other payments of which the Lessee is liable in terms of this agreement

3.2 Additional Payments

The Lessee shall pay promptly for:

All electricity (including electricity service charges), water and gas (if any) consumed on the premises. The Lessee undertakes to make payment to the Lessor monthly in arrears for the above usage. Invoice for this will be provided by the Lessor and is due with the monthly rental.

- All sewer, effluent and sanitary fees
- All charges arising out of any telephone services installed on the premises
- Any other fees payable in respect of services rendered to the premises during the period of the lease.

In the event of the Lessee failing to make payment of any of the foregoing the Lessor shall have the right without prejudice to any other rights in law or under this agreement to the effect payment himself and to recover the amounts so expended from the Lessee.



4 ACKNOWLEDGEMENTS BY THE LESSEE

The Lessee acknowledges that:

- The premises are let subject to the conditions contained in the title deed of the premises
- He has inspected the premises and that they are suitable for the purposes for which they are let
- He will have no claim for damages whatsoever against the lessor if for any reason the premises become unsuitable for the purposes for which they are being let
- The payment of rental by way of a cheque is an indulgence to the Lessee and in the event of such cheque being dishonoured for any reason whatsoever the Lessee shall be obliged to effect all payments in cash
- All goods brought onto the premises by the Lessee shall be at the sole risk of the Lessee without the Lessor incurring any responsibility relating thereto
- When the Lessee does not renew the lease, the entire property is cleaned and alterations fixed to the satisfaction of the Lessor
- The Lessor shall not be liable for any loss, damage, death or for any other reason whatsoever sustained by the Lessee by reason of any burglary, fire, or any other damage suffered by the Lessee. This includes but not limited to any defects to the property that could cause any harm of damages to the Lessee, his family or belongings, the Lessor will not be held responsible.
- The premises are part of a sectional title scheme and under the provisions of the Sectional Titles Act No 95 of 1986 and that the premises are let subject to the conditionals contained in the relevant sectional plan as provisions of rules applicable to such scheme
- All laws and Rules set out by the relevant local authority or body corporate

5 PAYMENTS OF RATES AND TAXES AND LEVIES

The Lessor shall be responsible to pay monthly rates and taxes to the local authority (municipality) and levies to the body corporate

6 PROHIBITION AGAINST SUBLETTING AND PARTING WITH POSSESSION

The Lessee shall not:

- Cede his rights or assign his obligations hereunder; or
- Sublet the premises or any portion thereof; or
- Part with possession of the premises or any portion thereof without the written consent of the Lessor.

7 OCCUPATION

- Notwithstanding any receipt given for rental or deposit paid in terms of the lease, the Lessee shall have no claim for damages or other right of action against the Lessor, nor be entitled to cancel this lease, should the Lessor be unable to give the Lessee occupation of the premises on the date of commencement of the lease for any reason whatsoever not attributable to wilful default on the part of the Lessor, and the Lessee undertakes to accept occupation from whatever date the premises are available subject to a remission of rental in respect of the period of non-occupation
- Should the Lessee fail to take occupation on the premises on due date upon which the premises are made available to him for occupation, the Lessor may without incurring any liability

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whatsoever towards the Lessee shall forfeit the deposit paid by him while remaining liable for any loss of rental or any other losses sustained by the Lessor

- In the event of the Lessee not being able to enjoy the beneficial occupation of the premises as a result of them having been materially damaged by fire, earthquakes, weather, storms, riot activity or the like and the Lessor –

7.1.1 Failing within 30 (thirty) days of the date of the damages to give the Lessee written notice that he intends to leap the lease alive, this lease shall be deemed to have been cancelled on the date that the damage occurred and the Lessor shall refund to the Lessee all rental paid in advance beyond the date of such damages; or

7.1.2 Having given notice to the Lessee as aforesaid, the Lessor shall restore the premises to a rentable condition as expeditiously as practicable and the Lessee shall be entitled to a total or partial remission of rental according to the extent to which and the period for which he was deprived of beneficial occupation of the premises.

Save as provided in 7.1.1 and 7.1.2 the Lessee shall have no claim whatsoever against the Lessor

7.2 The Lessee shall not without the Lessor's prior written consent;

- Vacate the premises prior to the expiry of the lease; or
- Allow the premises to remain unoccupied for any period exceeding six weeks per year; or
- Permit or allow persons other than the Lessee and his immediate family to occupy the premises or to reside therein





8 DEFECTS AND MAINTENANCE

- It is hereby recorded that at the time of conclusion of this agreement the premises are in good state of repair and condition, and that all keys, locks glass windows, electrical installations, sanitary ware, sewerage pipes, stoves, water taps, geyser s and other appurtenances are likewise in good order and condition. Should the Lessee at the time of taking occupation of the premises discover any defects in the premises he shall within 7 (seven) days of such occupation give the written notice of any such defect to the Lessor. Failure on the part of the Lessee to give such notice shall be deemed to be an acknowledgement on his part that the whole of the premises are in a good and proper state of repair and condition.
- It is specifically recorded that any notice given by the Lessee in terms of the above paragraph (bullet point 1 Heading 8) shall not place any obligation on the Lessor to repair the premises concerned, the intention being that such notice will serve only to record the state of repair in which the Lessee took occupation of the premises. It is furthermore specifically recorded that save as is otherwise provided in this agreement, the Lessor shall not be obliged to effect repairs to or maintain the premises and the Lessee shall not be entitled to withhold the rental or to claim any refund in respect of rental paid by reason of any defect whatsoever in the premises.
- The Lessor shall keep the structure of the premises and the roof in a state of good repair but shall not be held liable to the Lessee for any damaged which the Lessee may suffer by reason of any repairs to be affected by the Lessor not being affected timeously or at all.
- The Lessee undertakes subject to the above (section 8 paragraphs 3) to maintain at his own cost the whole of the premises for the full duration of the lease in the same state of repair as they were received by him. Reasonable fair wear and rear expected, alternatively to reimburse the Lessor for the cost of replacing or repairing any breakages or defects which were caused by the Lessee. Notwithstanding the generality of this clause, the lessee specifically undertakes to;
 - ↳ Keep and maintain all gutters, sewerage pipes. Water pipes and drains on the premises free from obstruction and/or blockage; and
 - ↳ Keep the grounds on the premises clean and tidy, free from all and any litter and rubbish
 - ↳ Keeping the garden neat and tidy, watered and in a healthy condition
 - ↳ Automated Garages will also be kept in good working condition and all care to be taken to keep them as such
 - ↳ Keep the electrical system in food working order and condition
 - ↳ Change Light Bulbs where required to do so and where damaged
 - ↳ Clean the Carpet, Tiles, Windows and any other area not mentioned clean tidy
 - ↳ It is understood that any of the items mentioned in section 8 be damaged that the Lessee with replace or fix at the expense of the Lessee.
- The Lessor shall be entitled to inspect the premises at all reasonable times and to make such repairs and alterations as are deemed necessary for the safety, preservation or improvement of the premises both internally and externally.
- Should the Lessee fail to maintain the premises in the manner specified in this clause and any other clause in this agreement, the Lessor shall be entitled in addition to any other rights or remedies available to him in terms of this agreement, carry out the necessary maintenance work at his discretion and to recover the full cost thereof from the Lessee. The Lessor also has the right to give the Lessee notice to pay and evacuate the property.



9 "FOR SALE" AND "TO LET" NOTICES

- ⌘ The Lessor shall at any time during the period of this lease be entitled to affix a "for sale" notice in respect of the premises.
- ⌘ Three months prior to the expiry of the lease, the Lessor shall be entitled to affix a "to let" notice upon the premises.
- ⌘ The Lessee shall allow any prospective tenant or purchaser to view the exterior and interior of the premises during reasonable hours, provided a prior appointment to do so has been made with the Lessee
- ⌘ The Lessee shall not be entitled to remove, relocate or damage any notice referred to in 9 (paragraph 2 and 3)

10 USE OF THE PREMISES BY THE LESSEE

The Lessee shall use the premises business/residential purposed and hereby specifically undertakes not to:

- ⌘ Contravene any law, bylaw, ordinance or regulation applicable in respect of the premises, in particular (if applicable) the rules applicable to the sectional title scheme of which the premises forms part of if the premises form part of a share block scheme, any use agreement applicable to the premises; or
- ⌘ Cause or permit any nuisance upon the premises; or
- ⌘ Allow pets or any other animals to damage the premises; or
- ⌘ Deface mark, paint, drive nails, hooks or screws into the doors , walls, ceiling or floors of the premises, or place or display advertisements or notices of whatsoever nature on any part of the premises, without the written consent of the Lessor; or
- ⌘ Interfere in any manner whatsoever with the existing electrical installation of the premises or to connect any electrical equipment to the electrical current which may in anyway damage the electrical installation or cause it to short circuit; or
- ⌘ Make any alteration, addition to the premises or its appurtenances without the written consent of the Lessor; or
- ⌘ Keep or store any dangerous or hazardous material or substance on the premises or do or permit anything which may vitiate the Lessee's insurance on the premises or cause an increase on the premiums payable thereunder ; or
- ⌘ Hold, permit the holding of, any sale by public auction whatsoever in or about the premises; or
- ⌘ Keep any pets in or on the premises without the Lessor's prior written consent.

11 IMPROVEMENTS

- ⌘ Any improvements made by the Lessee on or to the premises during the period of the lease shall become the property of the Lessor on termination of the lease and the lessee shall not be entitled to remove any such improvement or claim from the Lessor any compensation in respect thereof.
- ⌘ Notwithstanding the provisions of 11. (Paragraph) 1 above, the Lessor shall be entitled at the termination of the lease to demand in writing that any improvement or addition made by the Lessee be removed by the lessee at his own cost. The Lessee shall at his own expense and to the satisfaction of the Lessor repair all damages and/or defects caused by such removal.
- ⌘ Should the Lessee fail to comply with a demand made by the Lessor in terms of 11. (paragraph2) the Lessor shall be entitled, in addition any other remedy or right available to him in terms of this agreement, to have the relevant improvement and/or addition removed and to recover the costs thereof from the Lessee, including the cost of repair of all damages and/or defects caused by such removal.



12 BREACH

- 5 In the event of the Lessee not paying the rental or any other monies due in terms of this lease on due date; or breaching any other term of this lease and remaining in breach of such term for a period of seven days after dispatch of a written notice calling upon the Lessee to remedy such breach, then the Lessor shall be entitled at his sole discretion and without prejudice to any other rights in law to either claim specific performance in terms of this agreement or to cancel the agreement forthwith and without further notice claim damages from the Lessee.
- 5 Should any letter of demand for payment of rental have to be delivered/posted, the Lessee shall be liable for a delivery charge of R100.00 per letter. Furthermore, each and every telephonic call requesting rental payment after the 7th of each month will attract an administration fee of R15.00
- 5 The Lessee acknowledge that failure to pay all amounts due timeously, or absconding, constitutes a breach and should any amounts be due after termination and/or vacation, that this will result in the Lessee being recorded on one or more registered credit bureaus at the agents and/or landlords discretion. The Lessee hereby accepts and agrees to this measure being taken.
- 5 Should the agreement be cancelled by the Lessor for any reason whatsoever, the Lessee and all other persons occupying the premises on the Lessee's behalf shall immediately vacate the premises and allow the Lessor to take occupation thereof.
- 5 In the event of the Lessor having reasonable grounds for assuming that the Lessee will be vacating the premises the full rental which would be payable for balance of the period of the contract of Lease entered into between the Lessor and the Lessee will become immediately due, owing and payable notwithstanding the fact that such rental would not otherwise be due.
- 5 In the event of the Lessee not paying any amount due in terms of this contract on due date the lessor may at his election claim the full rental due for the balance of the period of the contract of lease from the Lessee, notwithstanding the fact that such rental would not otherwise be due.

13 LESSEE DISPUTING CANCELLATION

In the event of the Lessor cancelling this lease, and in the event of the Lessee disputing the right to cancel and remaining in occupation of the premises, the Lessee shall pending a decision in such a dispute continue to pay an amount equivalent to the monthly rental provided for in this lease together with all other payments herein provided, on the due date and at the place provided for in this lease and the Lessor shall be entitled to accept and recover such payments either before or after legal proceeding have been institutes, and the acceptance thereof shall be without prejudice and shall not in any way whatsoever affect the Lessor's claim of cancellation then in dispute. Should the dispute be determined in favour of the Lessor, the payments made and received in terms of this paragraph shall be deemed to be amounts paid by the Lessee on accounts of damages suffered by the Lessor by the reason of the cancellation of the Lease and/or the unlawful holding over by the Lessee.



14 DOMICILIUM

14.1.1 The parties accept domicilium citandi et executandi for all purposes in terms hereof at the address set out below:

- § The Lessor: 36 Stokroos Avenue, Breananda, Krugersdorp, 1739
- § The Lessee: 36 Stokroos Avenue, Breananda, Krugerdorp, 1739

14.1.2 A notice sent by one party to the other shall be deemed to have been received:

- § On the same day if delivered by hand
- § On the fourth day after posting if sent by registered post provided that any party alleging non-receipt shall bear the onus of providing same
- § Any party hereto may by notice advise the other parties of a change of domicilium and such domicilium shall become operative 14 (fourteen) days after the date of delivery of such notice or the deemed dated of delivery if posted.
- § No party shall be entitled to select a domicilium citandi et executandi which is not an address in the Republic of South Africa.
- § Notwithstanding anything to the contrary herein contained, a written notice of communication actually received by a party shall be an adequate written notice or communication to it not withstanding that it was not sent to or delivered to its chosen domicilium citandi et executandi.

15 SUSPENSIVE CONDITION

This agreement shall be conditional upon the Agent being satisfied as to the credit rating of the Lessee. The Lessee shall furnish the Agent with all necessary details for the purposes of obtaining a credit report. The Lessor shall notify the Lessee within 7 (seven) days from the date of the Lessee's signature to this document if it is not satisfied with the credit rating in which event this agreement shall be null and void. Should no such notice be given by the Lessor to the Lessee, then this sus pensive condition is deemed to be fulfilled.

16 TERNINATION

Notwithstanding the termination of this lease the Lessee shall remain liable in terms of this lease until the date that the Lessee has vacated the premises. By vacating the premises is meant that the Lessee has left the premises empty and in a neat and tidy condition



17 GENERAL

- This agreement constitutes the entire agreement between the parties and may not be cancelled, amended, varied or altered, save in writing and signed by all parties hereto.
- The parties hereto consent to the jurisdiction of the Magistrates Court in respect of any dispute arising out of this agreement.
- No indulgence of whatsoever nature or any relaxation or latitude which any party hereto (hereinafter referred to as the grantor) may show, grant or allow to any other party (hereinafter referred to as the grantee) shall constitute a waiver by the grantor of any of the grantor's rights and the grantor shall not thereby be prejudiced or stopped from exercising any of its rights against the grantee which may then already arisen or which may thereafter arise.
- It is recorded that neither party hereto has made any representations or warranties other those specifically referred to and contained in this agreement.
- All the provisions of this agreement shall be severable and no provisions shall be affected by the invalidity of any other provision of this agreement.



18 EFFECTIVE CAUSE

- 5 It is recorded that West Rand Estates North, (hereinafter referred to as the agent) is the effective cause of this agreement of lease and that the agent introduced the Lessee and the Lessor.
- 5 It is agreed that the Lessor will pay to the agent the commission and that the Lessor will be liable to pay further commission in respect of any lease agreement entered into between the Lessor and the Lessee after the termination of this agreement as well as commission in respect of any period by which this agreement is extended.

19 ACCESS FOR NEW TENANTS AND PURCHASERS

- 5 The Lessee shall at all reasonable times during the lease period allow prospective tenants and purchasers of the property to enter the property and view the same including the interior of the buildings on the premises.

20 CONSENT CLAUSE

The tenant hereby consents, and authorizes the landlord or agent to, at all times:

- 5 Contact, request and obtain information from any credit provider (or potential credit provider) or registered credit bureau relevant to an assessment of the behaviour, profile, payments patterns, indebtedness, whereabouts, and creditworthiness of the tenant:
- 5 Furnish information concerning the behaviour, profile, payments patterns, indebtedness, whereabouts, and creditworthiness of the tenant to any registered credit bureau or to any credit provider (or potential credit provider) seeking a trade reference regarding the tenant's dealings with the landlord



21 SIGNATURES

The following authorised representatives of each party execute this Agreement at the Commencement Date:

For the Lessor

Signature:

Name :

Position:

Date of Signing

Daarseld
Riaan van Jaarseld
Managing Director
28/02/2018

For the Lessee

Signature:

Name :

Date of Signing

Place of Signature

Lindie
28 Feb/2018
Krugersdorp

Witness

Signature:

Name :

Date of Signing

Place of Signature

Lukas
28 Feb 2018
Krugersdorp